

Project 1 — Edition A

Company: NVIDIA Corporation (NVDA ; CIK 0001045810)
Valuation date: September 1, 2026
Decision user: Investment committee with no current NVDA position
Decision: Decide whether to initiate, watch/defer, or not initiate a position after a defensible enterprise-value-to-equity-value valuation range is completed.

Initial thesis — initiate

Initiate valuation research on NVIDIA. NVIDIA merits deeper valuation research because Data Center revenue increased from \$115.186 billion in fiscal 2025 to \$193.737 billion in fiscal 2026. This growth suggests that AI-computing demand may be an important driver of future operating value, subject to testing its durability, profitability, and valuation. This is a preliminary research-admission decision, not a buy recommendation.

Known evidence

All company-specific facts below are from NVIDIA's [FY2026 Form 10-K](#), filed with the SEC.

Item	Reported evidence
Entity	NVIDIA Corporation (NVDA ; CIK 0001045810)
Primary filing	Form 10-K; accession 0001045810-26-000021 ; filed February 25, 2026
Reporting period	Fiscal year ended January 25, 2026
Currency and units	U.S. dollars; financial-statement amounts in millions, except per-share data
Cash	Cash, cash equivalents, and marketable securities of \$62,556 million at January 25, 2026
Debt	Debt net carrying amount of \$8,468 million: \$999 million short-term and \$7,469 million long-term
Diluted-share evidence	Diluted weighted-average shares of 24,514 million for fiscal 2026
Operating-value driver	Data Center revenue of \$193,737 million in fiscal 2026, up from \$115,186 million in fiscal 2025

Synthetic enterprise-to-equity bridge check

Using the class synthetic case, all monetary values and shares are in millions:

$$\text{Equity value} = 1,000 + 100 - 250 - 20 - 10 = 820$$

$$\text{Per-share value} = 820 / 100 = \$8.20 \text{ per diluted share}$$

This check confirms the direction of the bridge: add non-operating cash, subtract debt and senior/non-common claims, then divide common equity value by diluted shares. It is a mechanics check only, not a valuation of NVIDIA.

Consequential assumptions

- Data Center demand can remain durable beyond the current AI-infrastructure buildout.
- NVIDIA can retain sufficient pricing power and operating margins to convert Data Center demand into future free cash flow to the firm.
- The eventual valuation will use a consistent bridge policy for cash, marketable securities, debt, lease liabilities, and diluted shares.

Unknowns and uncertainties

- The degree of customer concentration and the risk that a small number of customers reduce purchases.
- The effect of export controls and competition on revenue growth, pricing, and margins.
- Whether current AI-infrastructure spending is sustainable or reflects an unsustainable buildout.
- The appropriate valuation range as of September 1, 2026, including forecast growth, margin, WACC, terminal growth, and the classification of cash and debt-like claims.

Research plan

1. Build a filing-based evidence ledger for revenue, EBIT, tax rate, D&A, capital expenditures, operating net working capital, cash, debt, and diluted shares.
2. Identify and label any non-recurring, accounting-basis, or classification issue before forecasting FCFF.
3. Build an FCFF valuation, bridge enterprise value to common equity, and state the diluted-share convention used.
4. Test the conclusion with revenue-growth, operating-margin, WACC, and terminal-growth sensitivities.
5. Check the durability of Data Center revenue using later filings and disclosures on customer concentration, export controls, supply commitments, and competitive conditions.

Partner-generated falsification question

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What evidence in NVIDIA's future filings would show that the Data Center revenue increase is not durable enough to support the initiate thesis?

No answer is proposed here